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## PLEXUS ANNOUNCES FISCAL FIRST QUARTER FINANCIAL RESULTS

01/25/2023

NEENAH, WI, Jan. 25, 2023 (GLOBE NEWSWIRE) -- Plexus Corp. (NASDAQ: PLXS) today announced financial results for our fiscal first quarter ended December 31, 2022, and guidance for our fiscal second quarter ending April 1, 2023.

- Reports fiscal first quarter 2023 revenue of \$1.09 billion, GAAP operating margin of 5.2% and GAAP diluted EPS of \$1.49, including \$0.21 of stock-based compensation expense
- Initiates fiscal second quarter 2023 revenue guidance of \$1.02 to \$1.07 billion with GAAP diluted EPS of \$1.06 to \$1.24, including \$0.21 of stock-based compensation expense

|                                             | Three Months Ended            |                                |                               |
|---------------------------------------------|-------------------------------|--------------------------------|-------------------------------|
|                                             | Dec 31, 2022<br>Q1F23 Results | Dec 31, 2022<br>Q1F23 Guidance | Apr 1, 2023<br>Q2F23 Guidance |
| <strong>Summary GAAP Items</strong>         |                               |                                |                               |
| Revenue (in billions)                       | \$1.094                       | \$1.080 to \$1.130             | \$1.020 to \$1.070            |
| Operating margin                            | 5.2%                          | 5.0% to 5.5%                   | 4.5% to 5.0%                  |
| Diluted EPS (1)                             | \$1.49                        | \$1.40 to \$1.58               | \$1.06 to \$1.24              |
| <strong>Summary Non-GAAP Items (2)</strong> |                               |                                |                               |
| Return on invested capital (ROIC)           | 13.8%                         |                                |                               |
| Economic return                             | 4.8%                          |                                |                               |

(1) Includes stock-based compensation expense of \$0.21 for Q1F23 results, \$0.20 for Q1F23 guidance and \$0.21 for Q2F23 guidance.

(2) Refer to Non-GAAP Supplemental Information in Tables 1 and 2 for additional information regarding non-GAAP financial measures.

### Fiscal First Quarter 2023 Information

- Won 29 manufacturing programs during the quarter representing \$158 million in annualized revenue when fully ramped into production
- Trailing four-quarter manufacturing wins of \$885 million in annualized revenue when fully ramped into production
- Purchased \$11.5 million of our shares at an average price of \$99.12 per share under our share repurchase program, leaving \$35.0 million available under our current \$50.0 million authorization

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Kelsey, Chief Executive Officer, commented, "Our fiscal 2023 started strong as we capitalized on the momentum built during fiscal 2022. Our fiscal first quarter results met our guidance as revenue expanded 34% year over year to \$1.09 billion. We delivered a healthy 5.2% GAAP operating margin and GAAP earnings per share that nearly doubled year over year to \$1.49. We achieved these robust results while managing through unexpected near-term demand



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million sequentially to a new record of \$5.0 billion. We anticipate an increasing volume of manufacturing wins for the fiscal second quarter, as well as stronger wins performance for the remainder of fiscal 2023, as our significantly expanded funnel and current business development conditions support a greater level of harvesting."

Patrick Jermain, Executive Vice President and Chief Financial Officer, commented, "For our fiscal first quarter, we delivered return on invested capital of 13.8%, which was 480 basis points above our weighted average cost of capital. Strong operating performance led to a 380 basis point improvement in ROIC compared to the prior year fiscal first quarter. Our fiscal first quarter cash cycle of 106 days included strategic investments to support new program ramps and the impact of demand volatility on inventory within the quarter. We are guiding higher cash cycle days for our fiscal second quarter related to additional working capital investments in support of customer demand and new programs ramps. We expect improvement to our cash cycle as we progress through the second half of fiscal 2023."

Mr. Kelsey further commented, "We are guiding fiscal second quarter revenue of \$1.02 billion to \$1.07 billion, GAAP operating margin of 4.5% to 5.0% and GAAP EPS of \$1.06 to \$1.24. Our guidance reflects a continuation of the near-term demand dynamics that affected our fiscal first quarter, our typical seasonal payroll cost increases as well as a sequential increase in interest and income tax expense."

Mr. Kelsey concluded, "We continue to see the potential for strong performance in fiscal 2023, including industry-leading profitability and revenue growth rates in excess of the markets we serve. While recognizing ongoing macroeconomic and geopolitical uncertainties, we anticipate a return to sequential revenue growth for our second half of fiscal 2023 and are focused on achieving our 5.5% GAAP operating margin goal exiting the fiscal year. This expectation reflects robust Healthcare/Life Sciences and Aerospace/Defense market sector demand, normalizing existing program ramp schedules, additional new program ramps and conversion of backlog as we continue to resolve supply chain challenges."

#### Quarterly Comparison

(in thousands, except EPS)

|                     | Three Months Ended |              |             |
|---------------------|--------------------|--------------|-------------|
|                     | Dec 31, 2022       | Oct 1, 2022  | Jan 1, 2022 |
| Revenue             | \$ 1,093,925       | \$ 1,123,848 | \$ 817,456  |
| Gross profit        | 101,199            | 107,105      | 69,996      |
| Operating income    | 57,341             | 62,314       | 30,473      |
| Net income          | 42,190             | 50,457       | 23,423      |
| Diluted EPS         | \$ 1.49            | \$ 1.78      | \$ 0.82     |
| Gross margin        | 9.3%               | 9.5%         | 8.6%        |
| Operating margin    | 5.2%               | 5.5%         | 3.7%        |
| ROIC (1)            | 13.8%              | 13.0%        | 10.0%       |
| Economic return (1) | 4.8%               | 3.7%         | 0.7%        |

(1) Refer to Non-GAAP Supplemental Information in Tables 1 and 2 for non-GAAP financial measures discussed and/or disclosed in this release, such as adjusted operating margin, adjusted net income, adjusted diluted EPS, ROIC and economic return.

#### Business Segment and Market Sector Revenue

Plexus measures operational performance and allocates resources on a geographic segment basis. Plexus also reports revenue based on the market sector breakout set forth in the table below, which reflects Plexus' market sector focused strategy. Top 10 customers comprised 53% of revenue during the first quarter of fiscal 2023. This is down five percentage points from the fourth quarter of fiscal 2022 and three percentage points from the first quarter of fiscal 2022.

#### Business Segments (\$ in millions)

|                                    | Three Months Ended |             |             |
|------------------------------------|--------------------|-------------|-------------|
|                                    | Dec 31, 2022       | Oct 1, 2022 | Jan 1, 2022 |
| Americas                           | \$ 390             | \$ 380      | \$ 277      |
| Asia-Pacific                       | 642                | 689         | 491         |
| Europe, Middle East and Africa     | 89                 | 85          | 73          |
| Elimination of inter-segment sales | (27)               | (30)        | (24)        |
| Total Revenue                      | \$ 1,094           | \$ 1,124    | \$ 817      |

#### Market Sectors (\$ in millions)

|                          | Three Months Ended |     |             |     |             |     |
|--------------------------|--------------------|-----|-------------|-----|-------------|-----|
|                          | Dec 31, 2022       |     | Oct 1, 2022 |     | Jan 1, 2022 |     |
| Industrial               | \$ 472             | 43% | \$ 520      | 46% | \$ 364      | 45% |
| Healthcare/Life Sciences | 488                | 45% | 467         | 42% | 344         | 42% |
| Aerospace/Defense        | 134                | 12% | 137         | 12% | 109         | 13% |
| Total Revenue            | \$ 1,094           |     | \$ 1,124    |     | \$ 817      |     |

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GAAP Supplemental Information



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For additional information on non-GAAP measures, please refer to the attached non-GAAP supplemental information tables.

## ROIC and Economic Return

ROIC for the first quarter of fiscal 2023 was 13.8%. Plexus defines ROIC as tax-effected annualized adjusted operating income divided by average invested capital over a two-quarter period for the first fiscal quarter. Invested capital is defined as equity plus debt and operating lease obligations, less cash and cash equivalents. Plexus' weighted average cost of capital for fiscal 2023 is 9.0%. ROIC for the first quarter of fiscal 2023 less Plexus' weighted average cost of capital resulted in an economic return of 4.8%.

## Free Cash Flow

Plexus defines free cash flow as cash flows provided by operations less capital expenditures. For the three months ended December 31, 2022, cash flows used in operations of \$48.8 million, less capital expenditures of \$23.1 million, resulted in negative free cash flow of \$71.9 million.

## Cash Cycle Days

|                             | Three Months Ended |             |             |
|-----------------------------|--------------------|-------------|-------------|
|                             | Dec 31, 2022       | Oct 1, 2022 | Jan 1, 2022 |
| Days in Accounts Receivable | 61                 | 60          | 66          |
| Days in Contract Assets     | 10                 | 11          | 12          |
| Days in Inventory           | 151                | 144         | 145         |
| Days in Accounts Payable    | (69)               | (72)        | (87)        |
| Days in Cash Deposits       | (47)               | (43)        | (33)        |
| Annualized Cash Cycle *     | 106                | 100         | 103         |

\* We calculate cash cycle as the sum of days in accounts receivable, days in contract assets and days in inventory, less days in accounts payable and days in cash deposits.

## Conference Call and Webcast Information

**What:** Plexus Fiscal 2023 Q1 Earnings Conference Call and Webcast  
**When:** Thursday, January 26, 2023 at 8:30 a.m. Eastern Time  
**Where:** Participants are encouraged to join the live webcast at the investor relations section of the Plexus website, [plexus.com](https://plexus.com). Participants can also join utilizing the links below:

Audio conferencing link:

<https://register.vevent.com/register/BI35170303983c48ce82b9381eb40ce6bd>

Webcast link:

<https://edge.media-server.com/mmc/p/4rx58iuu>

**Replay:** The webcast will be archived on the Plexus website and will be available as on-demand for 12 months

## Investor and Media Contact

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## About Plexus

Since 1979, Plexus has been partnering with companies to create the products that build a better world. We are a team of nearly 25,000 individuals who are dedicated to providing Design and Development, Supply Chain Solutions, New Product Introduction, Manufacturing and Sustaining Services. Plexus is a global leader that specializes in serving customers in industries with highly complex products and demanding regulatory environments. Plexus delivers customer service excellence to leading companies by providing innovative, comprehensive solutions throughout a product's lifecycle. For more information about Plexus, visit our website at [www.plexus.com](https://www.plexus.com).

## Safe Harbor and Fair Disclosure Statement

The statements contained in this press release that are guidance or which are not historical facts (such as statements in the future tense and statements including believe, expect, intend, plan, anticipate, goal, target and similar terms and concepts), including all discussions of periods which are not yet completed, are forward-looking statements that involve risks and uncertainties. These risks and uncertainties include the effect of inflationary pressures on our costs of production, profitability, and on the economic outlook of our markets; the effects of shortages and delays in obtaining components as a result of economic cycles, natural disasters or otherwise; the risk of customer delays, changes, cancellations or forecast inaccuracies in both ongoing and new programs; the lack of visibility of future orders, particularly in view of changing economic conditions; the economic performance of the industries, sectors and customers we serve; the effects of tariffs, trade disputes, trade agreements and other trade protection measures; the effects of the volume of revenue from certain sectors or programs on our margins in particular periods; our ability to secure new customers, maintain our current customer base and deliver product on a timely basis; the risks of concentration of work for certain customers; the particular risks relative to new or recent customers, programs or services, which risks include customer and other delays, start-up costs, potential inability to execute, the establishment of appropriate terms of agreements, and the lack of a track record of volume and timing; the effects of start-up costs of new programs and facilities or the costs associated with the closure or consolidation of facilities; the unexpected costs and operating disruption in transitioning programs, including transitions between Company facilities; the risk that new program wins



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compliance requirements; any tax law changes and related foreign jurisdiction tax developments; current or potential future barriers to the repatriation of funds that are currently held outside of the United States as a result of actions taken by other countries or otherwise; the potential effects of jurisdictional results on our taxes, tax rates, and our ability to use deferred tax assets and net operating losses; the weakness of areas of the global economy; the effect of changes in the pricing and margins of products; raw materials and component cost fluctuations; the potential effect of fluctuations in the value of the currencies in which we transact business; the effects of changes in economic conditions, political conditions and tax matters in the United States and in the other countries in which we do business; the potential effect of other world or local events or other events outside our control (such as the conflict between Russia and Ukraine, escalating tensions between China and Taiwan or China and the United States, changes in energy prices, terrorism, global health epidemics and weather events); the impact of increased competition; an inability to successfully manage human capital; changes in financial accounting standards; and other risks detailed herein and in our other Securities and Exchange Commission filings, particularly in Risk Factors contained in our fiscal 2022 Form 10-K.

**PLEXUS CORP. AND SUBSIDIARIES**  
**CONDENSED CONSOLIDATED STATEMENTS OF OPERATIONS**  
(in thousands, except per share data)  
(unaudited)

|                                      | Three Months Ended |                |
|--------------------------------------|--------------------|----------------|
|                                      | Dec 31,<br>2022    | Jan 1,<br>2022 |
| Net sales                            | \$ 1,093,925       | \$ 817,456     |
| Cost of sales                        | 992,726            | 747,460        |
| Gross profit                         | 101,199            | 69,996         |
| Operating expenses:                  |                    |                |
| Selling and administrative expenses  | 43,858             | 37,502         |
| Restructuring and impairment charges | —                  | 2,021          |
| Operating income                     | 57,341             | 30,473         |
| Other income (expense):              |                    |                |
| Interest expense                     | (6,894)            | (3,046)        |
| Interest income                      | 934                | 271            |
| Miscellaneous, net                   | (1,944)            | (923)          |
| Income before income taxes           | 49,437             | 26,775         |
| Income tax expense                   | 7,247              | 3,352          |
| Net income                           | \$ 42,190          | \$ 23,423      |
| Earnings per share:                  |                    |                |
| Basic                                | \$ 1.53            | \$ 0.84        |
| Diluted                              | \$ 1.49            | \$ 0.82        |
| Weighted average shares outstanding: |                    |                |
| Basic                                | 27,639             | 28,018         |
| Diluted                              | 28,305             | 28,709         |

**PLEXUS CORP. AND SUBSIDIARIES**  
**CONDENSED CONSOLIDATED BALANCE SHEETS**  
(in thousands, except per share data)  
(unaudited)

|                                                                 | Dec 31,<br>2022 | Oct 1,<br>2022 |
|-----------------------------------------------------------------|-----------------|----------------|
| <b>ASSETS</b>                                                   |                 |                |
| Current assets:                                                 |                 |                |
| Cash and cash equivalents                                       | \$ 247,880      | \$ 274,805     |
| Restricted cash                                                 | 31              | 665            |
| Accounts receivable                                             | 733,962         | 737,696        |
| Contract assets                                                 | 119,016         | 138,540        |
| Inventories                                                     | 1,645,011       | 1,602,783      |
| Prepaid expenses and other                                      | 68,401          | 61,633         |
| Total current assets                                            | 2,814,301       | 2,816,122      |
| Property, plant and equipment, net                              | 448,325         | 444,705        |
| Operating lease right-of-use assets                             | 64,069          | 65,134         |
| Deferred income taxes                                           | 39,337          | 39,075         |
| Other assets                                                    | 29,260          | 28,189         |
| Total non-current assets                                        | 580,991         | 577,103        |
| Total assets                                                    | \$ 3,395,292    | \$ 3,393,225   |
| <b>LIABILITIES AND SHAREHOLDERS' EQUITY</b>                     |                 |                |
| Current liabilities:                                            |                 |                |
| Current portion of long-term debt and finance lease obligations | \$ 329,076      | \$ 273,971     |
| Accounts payable                                                | 753,755         | 805,583        |
| Customer deposits                                               | 511,037         | 480,486        |
| Accrued salaries and wages                                      | 64,126          | 88,876         |
| Other accrued liabilities                                       | 296,466         | 357,273        |

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|                                                                                                                                                                 |              |              |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------|--------------|
| Total non-current liabilities                                                                                                                                   | 290,573      | 291,305      |
| Total liabilities                                                                                                                                               | 2,245,033    | 2,297,494    |
| Shareholders' equity:                                                                                                                                           |              |              |
| Common stock, \$.01 par value, 200,000 shares authorized, 54,133 and 54,084 shares issued, respectively, and 27,612 and 27,679 shares outstanding, respectively | 541          | 541          |
| Additional paid-in-capital                                                                                                                                      | 654,059      | 652,467      |
| Common stock held in treasury, at cost, 26,521 and 26,405, respectively                                                                                         | (1,104,953)  | (1,093,483)  |
| Retained earnings                                                                                                                                               | 1,614,424    | 1,572,234    |
| Accumulated other comprehensive loss                                                                                                                            | (13,812)     | (36,028)     |
| Total shareholders' equity                                                                                                                                      | 1,150,259    | 1,095,731    |
| Total liabilities and shareholders' equity                                                                                                                      | \$ 3,395,292 | \$ 3,393,225 |

**PLEXUS CORP. AND SUBSIDIARIES**  
**NON-GAAP SUPPLEMENTAL INFORMATION Table 1**  
(in thousands, except per share data)  
(unaudited)

|                                                      | Three Months Ended |                |                |
|------------------------------------------------------|--------------------|----------------|----------------|
|                                                      | Dec 31,<br>2022    | Oct 1,<br>2022 | Jan 1,<br>2022 |
| Operating income, as reported                        | \$ 57,341          | \$ 62,314      | \$ 30,473      |
| Operating margin, as reported                        | 5.2%               | 5.5%           | 3.7%           |
| Non-GAAP adjustments:                                |                    |                |                |
| Restructuring and impairment charges (1)             | —                  | —              | 2,021          |
| Adjusted operating income                            | \$ 57,341          | \$ 62,314      | \$ 32,494      |
| Adjusted operating margin                            | 5.2%               | 5.5%           | 4.0%           |
| Net income, as reported                              | \$ 42,190          | \$ 50,457      | \$ 23,423      |
| Non-GAAP adjustments:                                |                    |                |                |
| Restructuring and impairment charges, net of tax (1) | —                  | —              | 1,809          |
| Adjusted net income                                  | \$ 42,190          | \$ 50,457      | \$ 25,232      |
| Diluted earnings per share, as reported              | \$ 1.49            | \$ 1.78        | \$ 0.82        |
| Non-GAAP per share adjustments:                      |                    |                |                |
| Restructuring and impairment charges, net of tax (1) | —                  | —              | 0.06           |
| Adjusted diluted earnings per share                  | \$ 1.49            | \$ 1.78        | \$ 0.88        |

(1) During the three months ended January 1, 2022, restructuring and impairment charges of \$2.0 million, or \$1.8 million net of taxes, were incurred primarily for employee severance costs associated with a facility transition in the Company's APAC region.

**PLEXUS CORP. AND SUBSIDIARIES**  
**NON-GAAP SUPPLEMENTAL INFORMATION Table 2**  
(in thousands)  
(unaudited)

| ROIC and Economic Return Calculations    | Three Months Ended |           | Twelve Months Ended |           | Three Months Ended |           |
|------------------------------------------|--------------------|-----------|---------------------|-----------|--------------------|-----------|
|                                          | Dec 31,<br>2022    |           | Oct 1,<br>2022      |           | Jan 1,<br>2022     |           |
| Operating income, as reported            | \$                 | 57,341    | \$                  | 178,185   | \$                 | 30,473    |
| Restructuring and impairment charges     | +                  | —         | +                   | 2,021     | +                  | 2,021     |
| Adjusted operating income                | \$                 | 57,341    | \$                  | 180,206   | \$                 | 32,494    |
|                                          | x                  | 4         | x                   | 4         | x                  | 4         |
| Adjusted annualized operating income     | \$                 | 229,364   | \$                  | 180,206   | \$                 | 129,976   |
| Adjusted effective tax rate              | x                  | 16%       | x                   | 13%       | x                  | 13%       |
| Tax impact                               |                    | 36,698    |                     | 23,427    |                    | 16,897    |
| Adjusted operating income (tax-effected) | \$                 | 192,666   | \$                  | 156,779   | \$                 | 113,079   |
| Average invested capital                 | ÷ \$               | 1,392,002 | ÷ \$                | 1,207,357 | ÷ \$               | 1,135,312 |
| ROIC                                     |                    | 18%       |                     | 13.0%     |                    | 10.0%     |
| Weighted average cost of capital         | -                  | 9.0%      | -                   | 9.3%      | -                  | 9.3%      |
| Economic return                          |                    | 4.8%      |                     | 3.7%      |                    | 0.7%      |

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|------------------------------------------------|--------------|--------------|--------------|--------------|--------------|--------------|
| Debt and finance lease obligations – current   | 329,076      | 273,971      | 250,012      | 222,393      | 151,417      | 66,313       |
| Operating lease obligations - current (1)      | 8,878        | 7,948        | 8,640        | 9,266        | 9,507        | 9,877        |
| Debt and finance lease obligations - long-term | 187,272      | 187,776      | 184,707      | 186,069      | 187,075      | 187,033      |
| Operating lease obligations - long-term        | 32,149       | 33,628       | 32,270       | 34,347       | 36,343       | 37,970       |
| Less:                                          |              |              |              |              |              |              |
| Cash and cash equivalents                      | (247,880)    | (274,805)    | (276,608)    | (307,964)    | (217,067)    | (270,172)    |
|                                                | \$ 1,459,754 | \$ 1,324,249 | \$ 1,257,211 | \$ 1,184,702 | \$ 1,211,370 | \$ 1,059,253 |

(1) Included in other accrued liabilities on the Condensed Consolidated Balance Sheets.



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